CASCADIA ANALYTICS

# MercadoLibre, Inc.

Equity Research Note | MELI | 23 OCTOBER 2026

## LatAm Ecosystem Leader

MercadoLibre screens as a Buy with a $2,500.15 blended target, 38% above the current price.

**Analyst: Justin Wen**

| REFERENCE PRICE | BLENDED TARGET | BLENDED UPSIDE | |
|---|---|---|---|
| $1,810.15 | $2,500.15 | +38% | BUY |

### Investment Thesis

LatAm Ecosystem Leader. Marketplace, Mercado Pago, logistics, credit, and ads form one flywheel: 89.3M active buyers, $101B TPV, $16.4B credit portfolio [Q2 PR]. Ecosystemic users using both sides grow 37% and are the most profitable cohort [Q2 call]. Growth at Scale. Q2 2026: revenue $10.17B (+50%), GMV $21.9B (+44%), TPV $101B (+56%), credit +75% YoY [Q2 PR]. All three core markets, Brazil, Mexico, Argentina, grew double digits FXN. This is a growth company at $93B, not a story stock. Margin Compression Is a

- LatAm Ecosystem Leader
- Growth at Scale
- Margin Compression Is a Choice

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## The latest print

**Growth at Scale.** Q2 2026: revenue $10.17B (+50%), GMV $21.9B (+44%), TPV $101B (+56%), credit +75% YoY. All three core markets, Brazil, Mexico, Argentina, grew double digits FXN. This is a growth company at $93B, not a story stock.

**Margin Compression Is a Choice.** Op margin of 6.7%, down 550 bps, is deliberate reinvestment, not share loss. At $1,810.15 the market prices a 16.0% CAGR while our DCF base $2,451.43 needs ~22% and implies 35% upside. PEG of 1.01 agrees the market is underpricing it.

| $10.17B | $21.9B | $101.0B | $16.4B | 6.7% | $9.19 |
|---|---|---|---|---|---|
| REVENUE (Q2 2026) | GMV | TOTAL PAYMENT VOLUME | CREDIT PORTFOLIO | OPERATING MARGIN | EPS (Q2) |

## Key metrics in detail

| METRIC | LATEST | VS YEAR AGO | TREND |
|---|---|---|---|
| **Revenue (Q2 2026)** | $10.17B | +49.8% | Up |
| **GMV** | $21.9B | +44% (+36% FXN) | Up |
| **Total Payment Volume** | $101.0B | +56% | Up |
| **Credit Portfolio** | $16.4B | +75% | Up |
| **Operating Margin** | 6.7% | -5.5 pts | Down |
| **EPS (Q2)** | $9.19 | -10.9% | Down |
| **Unique Active Buyers** | 89.3M | n/a | Up |

## The moat

GMV $21.9B (+44% YoY, +36% FXN) with 795.4M items sold (+45%) and 89.3M active buyers

## The growth engine

Mercado Pago TPV $101B (+56% YoY); credit portfolio $16.4B (+75% YoY) with improving delinquency

## Three scenarios make the valuation range explicit

Three scenarios frame the range; the blended target balances the three outcomes.

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| SCENARIO | 2026-30 CAGR | 2030 REVENUE | 2030 EBIT MARGIN | TARGET | UPSIDE |
|---|---|---|---|---|---|
| **Bear** | 14.0% | $67.39B | 12.8% | **$1,293.85** | -29% |
| **Base** | 22.0% | $94.59B | 16.1% | **$2,451.43** | +35% |
| **Bull** | 28.5% | $122.63B | 18.7% | **$3,803.88** | +110% |

**Bear:** downside case at $1,293.85 (-29%).

**Base:** central case at $2,451.43 (+35%).

**Bull:** upside case at $3,803.88 (+110%).

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# The probability-blended target implies 38% upside

The blended target implies +38% from the $1,810.15 reference price, balancing the Bear, Base and Bull outcomes in the scenario matrix.

**$2,500.15**
BLENDED TARGET

The valuation uses a multi-year discounted cash flow framework across three scenarios. Discount rates are market-implied and updated from live market inputs. The scenario matrix above states what each scenario assumes in growth and margin terms and what it produces: horizon revenue, enterprise value, equity value and the per-share target.

We judge a scenario by whether its growth and margin posture is supported by the filed record and the company's own guidance, and we disclose below how much of each scenario's value sits in the terminal year, because that share is where the valuation risk concentrates.

| | |
|---|---|
| Reference price | **$1,810.15** |
| Bear target | **$1,293.85** |
| Base target | **$2,451.43** |
| Bull target | **$3,803.88** |
| Blended target | **$2,500.15** |
| Terminal value share of Base enterprise value | **82.1%** |

**BUY | $2,500.15 BLENDED TARGET | WEN**

## The reverse DCF: what the market prices in

The market-implied revenue CAGR is 16.0%, verdict vs scenarios.

## Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR. The highlighted row sits nearest the market-implied CAGR.

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| CAGR | Implied EV | Implied price | CAGR | Implied EV | Implied price |
|---|---|---|---|---|---|
| +0% | $39.7B | $656.23 | +20% | $119.5B | $2,230.92 |
| +1% | $42.3B | $707.18 | +21% | $125.4B | $2,347.34 |
| +2% | $45.0B | $760.52 | +22% | $131.5B | $2,468.16 |
| +3% | $47.8B | $816.33 | +23% | $137.9B | $2,593.50 |
| +4% | $50.7B | $874.68 | +24% | $144.5B | $2,723.49 |
| +5% | $53.8B | $935.66 | +25% | $151.3B | $2,858.25 |
| +6% | $57.1B | $999.37 | +26% | $158.4B | $2,997.93 |
| +7% | $60.4B | $1,065.89 | +27% | $165.7B | $3,142.63 |
| +8% | $64.0B | $1,135.31 | +28% | $173.3B | $3,292.52 |
| +9% | $67.6B | $1,207.73 | +29% | $181.2B | $3,447.71 |
| +10% | $71.5B | $1,283.24 | +30% | $189.3B | $3,608.34 |
| +11% | $75.4B | $1,361.95 | | | |
| +12% | $79.6B | $1,443.94 | | | |
| +13% | $83.9B | $1,529.32 | | | |
| +14% | $88.4B | $1,618.20 | | | |
| +15% | $93.1B | $1,710.68 | | | |
| **+16%** | **$98.0B** | **$1,806.86** | | | |
| +17% | $103.1B | $1,906.87 | | | |
| +18% | $108.3B | $2,010.80 | | | |
| +19% | $113.8B | $2,118.78 | | | |

## Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

| SCENARIO | ENTERPRISE VALUE | PLUS: NET CASH | EQUITY VALUE | TARGET |
|---|---|---|---|---|
| **Bear** | $72.44B | -$6.40B | $66.04B | **$1,293.85** |
| **Base** | $131.53B | -$6.40B | $125.13B | **$2,451.43** |
| **Bull** | $200.56B | -$6.40B | $194.16B | **$3,803.88** |

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## Terminal value share

We disclose how much of each scenario value sits in the terminal year. Terminal value is 82.1% of Base enterprise value (Bear 78.7%, Bull 83.9%). A high terminal share means the target rests primarily on the terminal-year economics in the scenario matrix rather than on the explicit forecast years, and we weigh it accordingly in the investment view.

## Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

| SCENARIO | 2026 | 2026 | 2027 | 2028 | 2029 | 2030 |
|---|---|---|---|---|---|---|
| **Bear** | $1,293.85 | $1,421.81 | $1,504.57 | $1,581.73 | $1,649.99 | $1,705.26 |
| **Base** | $2,451.43 | $2,693.88 | $2,898.38 | $3,094.08 | $3,270.33 | $3,412.51 |
| **Bull** | $3,803.88 | $4,180.08 | $4,528.28 | $4,867.55 | $5,177.61 | $5,428.59 |

Methodology note. Our valuation framework discounts scenario cash flows at market-implied discount rates updated from live market inputs. The $2,500.15 headline target is the blended outcome of the Bear, Base and Bull scenarios in the matrix above.

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# The SOTP cross-check: $1,601.24 per share

We cross-check the DCF against a sum-of-the-parts view of MercadoLibre's three businesses, because they compound at different rates and carry different margin profiles. The Base case is shown.

## Segments in the cross-check

Commerce & Envios (Marketplace & Logistics), Mercado Pago (Payments & Acquiring), Mercado Credito (Lending).

Commerce & Envios (Marketplace & Logistics) is the largest contributor to the SOTP value, followed by Mercado Credito (Lending) and Mercado Pago (Payments & Acquiring). The cross-check therefore rests mainly on the commerce franchise, with lending and payments together contributing a minority of the value.

Against the DCF: the SOTP cross-check value of $1,601.24 per share versus the DCF Base target of $2,451.43, a difference of -$850.19 (-34.7%).

Methodology note. The sum-of-the-parts view is a cross-check on the DCF scenarios. Segment-level build detail is not published; the per-share conclusion and its relationship to the DCF Base target are what we rely on. Bases are trailing twelve months through Q2 2026; Pago is after a maximum-bound on-platform haircut; Credito is on the net book; multiples are peer range ends and midpoints from two-peer sets, not percentiles.

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# Agency risk score 67 of 100: balanced, typical corporate alignment

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 6.96% of shares outstanding. Form 4 filings over the trailing six months show $1.19M of open-market purchases against $0 of sales, a net flow of $1.19M. One-year total shareholder return is -20.7% against CEO total pay of $4.30M (Mr. Ariel Szarfsztejn), which the model scores as SUB-OPTIMAL ALIGNMENT.

**67**

AGENCY RISK SCORE, OF 100

## The three components

| COMPONENT | SCORE | WHAT THE SITE SHOWS |
|---|---|---|
| **Insider Ownership (Skin in the Game)** | 25 / 40 | 6.96% of shares held by insiders |
| **Form 4 Flow (Conviction Flow)** | 30 / 30 | Buys $1.19M (2) vs sales $0 (0), net $1.19M, trailing six months |
| **Pay-for-Performance** | 12 / 30 | SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -20.7%; Mr. Ariel Szarfsztejn, CEO & President, total pay $4.30M |
| **Agency Risk Score** | **67 / 100** | Regime: BALANCED / TYPICAL CORPORATE |

## Recent Form 4 filings

| DATE | FILER | RELATION | TYPE | SHARES | VALUE |
|---|---|---|---|---|---|
| **2026-06-11** | Melamud Marcelo | Officer | BUY | 124 | $200.0K |
| **2026-05-22** | Aguzin Alejandro Nicolas | Director | BUY | 600 | $993.6K |

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## SEC proxy audit, DEF 14A filed 2026-04-23

**Alignment grade B.** CEO TRANSITION ANNOUNCED (SCT OMITTED). Ariel Szarfsztejn, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

| BASE SALARY | STOCK AWARDS | NON-EQUITY INCENTIVE | OTHER COMPENSATION |
|---|---|---|---|
| **N/A** | N/A | N/A | N/A |

Founder Marcos Galperin transitioned to Executive Chairman on January 1, 2026, with Ariel Szarfsztejn elevated to Chief Executive Officer. Executive compensation figures and the Summary Compensation Table are omitted from this excerpt, preventing quantitative pay-for-performance and TSR analysis. Governance mechanics show a fully independent compensation committee with robust risk oversight and established director compensation standards.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1099590/000109959026000010/meli-20260423.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 24 October 2026 for this note.

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## The bear case

### Deliberate Margin Compression

Op margin fell 550 bps YoY to 6.7% as management lowered take rates, raised marketing, and expanded logistics. The team says reinvestment will not slow, so near-term earnings stay compressed.

### Credit Risk

Credit portfolio up 75% YoY to $16.4B with higher provisions. Delinquency improved to 7.0% but a LatAm downturn could spike bad debts quickly given the growth pace.

### LatAm Macro and FX

Revenue, margins, and credit quality are all exposed to ARS/BRL/MXN swings. Argentina posted 38% FXN GMV growth but consumption there remains fragile.

### Competition

Amazon and Shopee compete across the region. MercadoLibre leads on logistics and fintech integration, but price competition in commerce pressures take rates.

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## The strengths

### Operating Quality

Dominant LatAm platform with a real ecosystem moat: marketplace, payments, logistics, credit, and ads reinforcing each other. Ecosystemic users (commerce + fintech) are materially more profitable and growing 37%. FCF margin hit 37% in FY25. Margin compression is deliberate investment, not competitive erosion.

### Recent Trend

Operating momentum is exceptional: revenue +50%, GMV +44%, TPV +56%, credit +75% YoY. But net income fell ~11%, op margin compressed 550 bps, and EPS has missed twice in the last four quarters. The stock is down 11% in a month and sits 22% below its 52-week high. Great business, choppy stock.

### Forward Growth

Growth is confirmed, not speculative: all three core markets growing double digits FXN, credit compounding at 75%, ads at 62% FXN, and 37% growth in the highest-value user cohort. DCF base case embeds ~22% revenue CAGR, and the trajectory supports it.

### Valuation

DCF base $2,451.43 implies 35% upside and the market prices only a 16.0% CAGR, well below base-case growth. NTM PEG of 1.01 is cheap for 40%+ revenue growth. Trailing P/E of 46.6x looks elevated but compresses fast as investment normalizes.

## Cascadia scorecard

**Composite score 79: Attractive.** Confidence High, as of 23-Oct-2026.

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| PILLAR | RATIONALE | SCORE |
|---|---|---|
| **Operating Quality** | Dominant LatAm platform with a real ecosystem moat: marketplace, payments, logistics, credit, and ads reinforcing each other. Ecosystemic users (commerce + fintech) are materially more profitable and growing 37%. FCF margin hit 37% in FY25. Margin compression is deliberate investment, not competitive erosion. | 88 |
| **Recent Trend** | Operating momentum is exceptional: revenue +50%, GMV +44%, TPV +56%, credit +75% YoY. But net income fell ~11%, op margin compressed 550 bps, and EPS has missed twice in the last four quarters. The stock is down 11% in a month and sits 22% below its 52-week high. Great business, choppy stock. | 70 |
| **Forward Growth** | Growth is confirmed, not speculative: all three core markets growing double digits FXN, credit compounding at 75%, ads at 62% FXN, and 37% growth in the highest-value user cohort. DCF base case embeds ~22% revenue CAGR, and the trajectory supports it. | 92 |
| **Valuation** | DCF base $2,451.43 implies 35% upside and the market prices only a 16.0% CAGR, well below base-case growth. NTM PEG of 1.01 is cheap for 40%+ revenue growth. Trailing P/E of 46.6x looks elevated but compresses fast as investment normalizes. | 72 |
| **Catalysts & Risk** | Q3 earnings on Nov 4 with margin trajectory as the key debate; improving credit quality supports the fintech ramp. Risks: LatAm FX and macro (Argentina, Brazil), rising credit provisions, and a management team explicitly choosing investment over near-term profitability. Positive skew. | 72 |

## Investment view

Q3 earnings on Nov 4: the swing factor is margin trajectory vs the investment pace, not revenue. If op margins stabilize while GMV/TPV hold 30%+ FXN growth, the base case ($2,451.43) comes into play; credit deterioration or a LatAm FX shock would test the bear ($1,293.85).

**Investment view: Buy. The $2,500.15 blended target implies +38%, balancing the $1,293.85 / $2,451.43 / $3,803.88 Bear / Base / Bull outcomes.**

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